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Standard Chartered Bank 9M20 Earnings Note

StanChart's 9M20 net earnings fell 30.4% y/y to KES 4.3B driven by a 274.2% y/y surge in loan loss provisions to KES 2.7B and a 4.5% y/y drop in total operating income. We maintain our recommendation to BUY recommendation at a target price of KES 167.57 offering a potential upside of 11.3% on the current price of KES 150.50.

DATE:	**20th November 2020**
Target Price:	**KES 167.57**
Current Price:	**KES 150.50**
Upside:	**11.3%**
52 Week Low:	**KES 145.00**
52 Week High:	**KES 225.00**

Weakening top line

Despite a 11.1% y/y growth in the bank's loan book, interest income from loans and advances to customers declined by 5.8% y/y with the decline likely attributable to a lower CBR (average of 7.2% in 2020 as compared to average of 8.9% in 2019). This may have been further exacerbated by declining yields on government securities as demand outweighs supply given the high liquidity in the market. Lower income from fees and commissions saw non-interest revenue decline 8.8% y/y to KES 6.3B further worsening top line growth.

Falling costs bolster bottom-line

Improved efficiency measures by the bank saw operating expenses decline 3.3% y/y to KES 11.4B. The bottom-line was further boosted by a 17.3% y/y decline in interest expenses behind a 8.0% y/y growth in customer deposits to KES 242.8B.

Asset book quality deteriorates

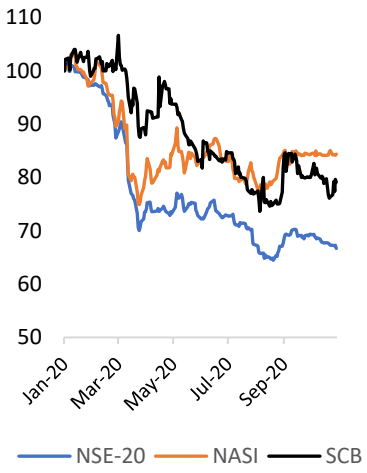
In line with market expectations given the current operating environment, the Group's NPLs rose 10.3% y/y to KES 22.0B with loan loss provisions soaring 274.2% y/y to KES 2.7B. The bank has traditionally suffered from a deteriorating asset book with its NPL ratio higher than its peers. The current slowdown in business due to the pandemic may see further deterioration of asset book quality.

Outlook

The banks performance was below our expectation of a flat growth in earnings. We remain concerned about the decrease in the top line as both interest and non-interest income declined. Of all the banks that have released their 9M20 results, Standard Chartered seems to be the worst affected by the lower CBR and CBK's regulations on fees charged on transaction. We however laud the improvement in costs buoying the bottom-line.

The counter is currently trading at p/e and p/b multiples of 13.5x and 1.1x respectively.

SCB vs Indices



Source: AIB-AXYS Research

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Financial Statements

Income Statement	9M19	2Q20	3Q20	9M20	chg y/y	chg q/q
	KES M	KES M	KES M	KES M	%	%
Interest Income	19,062	5,818	6,016	17,948	-5.8%	3.4%
Interest Expense	4,402	1,147	1,102	3,641	-17.3%	-3.9%
Net Interest Income	14,661	4,671	4,913	14,307	-2.4%	5.2%
Non Interest Income	6,960	2,167	1,944	6,347	-8.8%	-10.3%
Total Operating Income	21,621	6,838	6,857	20,654	-4.5%	0.3%
Total Operating Expenses	11,756	3,449	4,299	11,365	-3.3%	24.6%
Loan Loss Provision Expense	728	1,197	1,100	2,725	274.2%	-8.1%
Operating Profit	9,865	3,389	2,559	9,289	-5.8%	-24.5%
Profit Before Tax	9,136	2,192	1,459	6,564	-28.2%	-33.5%
Current Tax	2,910	969	359	2,231	-23.3%	-63.0%
Profit After Tax	6,226	1,222	1,100	4,333	-30.4%	-10.0%
EPS (KES)	16.15	3.12	2.80	11.13	-31.1%	-10.3%
Balance Sheet						
Total Shareholders' Equity	47,904	51,721	50,171	50,171	4.7%	-3.0%
Customer Deposits	224,760	256,496	242,789	242,789	8.0%	-5.3%
Total Liabilities	242,660	275,478	264,210	264,210	8.9%	-4.1%
Government and Other Securities	95,718	101,177	102,324	102,324	6.9%	1.1%
Net Loans and advances	118,500	134,317	131,652	131,652	11.1%	-2.0%
Total Assets	290,564	327,199	314,382	314,382	8.2%	-3.9%
Key Ratios						
Gross NPL (KES M)	19,924	20,903	21,966	21,966	10.3%	5.1%
Gross NPL Ratio	16.8%	15.6%	16.7%	16.7%		
Cost of Risk	0.9%	3.6%	3.3%	2.1%		
Loan to Deposits	52.7%	52.4%	54.2%	54.2%		
Yield on Interest Earning Assets	8.9%	9.9%	10.3%	11.5%		
Cost of Funds	2.9%	1.8%	1.8%	2.2%		
NIM	12.4%	8.1%	8.5%	9.3%		
Non Funded/Total Income	32.2%	31.7%	28.4%	30.7%		
Cost to Income Ratio	54.4%	50.4%	62.7%	55.0%		
ROE	19.5%	9.5%	8.8%	13.0%		
ROA	3.2%	1.5%	1.4%	2.1%		
Core Capital/TRWA	15.8%	15.8%	16.1%	16.1%		
Total Capital/TRWA	18.9%	18.5%	18.8%	18.8%		
Liquidity Ratio	67.5%	66.8%	65.7%	65.7%		
P/E (x)				13.5		
P/B (x)				1.1		

Source: AIB-AXYS Research, company fillings



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